



GROWTH WITH EQUITY

"We must elect and reward good governance"

P. CHIDAMBARAM FINANCE MINISTER

Pandit Jawahar Lal Nehru, in his famous speech at Avadi near Chennai in 1955, spelt out the conditions for inclusive growth. He asked and I ask the same question—how can we spread the benefits of growth unless we have growth? How can we spread the benefits of wealth unless we have wealth? So, the first order of business is to have growth. Even today, I am deeply disappointed that some sections of the polity mock at high growth. They accuse me and my Government of being obsessed with growth. What should we do? Should we work towards negative growth? Should we work towards destruction of wealth?

Since the UPA Government came into office, we have completed or nearly completing four years and average growth for these four years, I believe, will be 8.7-8.8 per cent a year. So we have delivered growth. We have worked hard to deliver growth. How do we convert this growth into equitable growth or inclusive growth? The necessary condition for converting high growth to better and more inclusive growth is to ensure that you have the revenues; is

to ensure that you have the fiscal space to do what you want to do and you are not constrained in both fiscal and monetary management. What has our government done in the last four years? In the last four years, we have increased the tax to GDP ratio from 9.2 per cent to 12.5 per cent this year and next year it will be 13 per cent. This allows us to do what we have to on health, education, etc.

Secondly, our government has been extremely prudent fiscally. We inherited a fiscal deficit of 4.5 per cent; this year we have reduced it to 3.1 per cent, and next year we will reach a fiscal deficit of only 2.5 per cent. On the revenue side, we inherited a revenue deficit of 3.6 per cent, this year we have brought it down to 1.4 per cent, and next year we will bring it down to 1 per cent. Now what does this mean? This means that I have more revenues, I have created fiscal space for the government to borrow more, if necessary, and

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P. Chidambaram



HEMANT CHAWLA

I have created space for the Government in Parliament to spend on what they think are desirable objectives. The desirable objectives are, of course, education, health, rural infrastructure, drinking water, sanitation. You might ask what is there for industry. Well, infrastructure of industry is important. I believe we have laid the conditions for high growth and we have laid the pre-conditions for making this growth more inclusive.

The distribution of wealth is worsening. But why? The share of agriculture is only 18 per cent and is shrinking. It is shrinking because industry and services are growing at close to 9-10 per cent but the agriculture sector is growing at only about 2.6 per cent. The answer, therefore, is to give better prices, remunerative prices to our farmers and to wean as many people as possible away from farming to non-farm activity. As long as 52 per cent of the rural work force